

in not owning rental homes. This book is not to judge or make that decision for you, but if you wish to step into real estate, REITs can be a good alternative.

REITs can be bought as mutual funds or as an ETF. Like ETFs, they can also be broken down into sectors. You may prefer to invest in just resorts or hospitals, or just in retail (e.g. a REIT made out of malls).

The reason REITs can be an attractive option is that they provide high-yield dividends, which can be thought of as the equivalent of rent. Rather than buying a commercial property yourself and getting rent from a tenant, you buy a REIT and get a dividend. Some stocks provide dividends too, but REITs do this on a larger scale.

In the last 10 years, the performance of US REITs based on the FTSE NAREIT Equity REIT Index was 9.5 per cent. That's a mouthful, but what it means is that the return was less than or equal to what the broad stock market brought over that 10-year period, so it shouldn't replace your entire portfolio.

It's worth noting that when it comes to physical real estate, 'real' real estate investing often beats out a 9.5 per cent gain, if you leverage. Leverage is the fancy word to say you're using the bank's money to grow your money. For example, say you owned a \$500 000 home and you put down a \$50 000 deposit. If the house went up 10 per cent the next year, you made a 10 per cent return on the total value of the house, not a 10 per cent return on your \$50 000 deposit. This would leave you with a \$50 000 return on the original \$50 000 you put down. Whereas if you had invested \$50 000 in the share market and made a 10 per cent gain, that is only on the \$50 000 invested. This would leave you with a \$5000 return on your original \$50 000 you put down. Leverage can be powerful.

So if you're looking to make big money through real estate, REITs aren't the way to do it. But if you're looking to diversify your stock market portfolio with real estate, REITs fit in quite nicely.

Another benefit of REITs is that, unlike buying or selling physical real estate yourself, which is a process that can take a few months or even a year, REITs are easy to buy and sell. You can have your money in real estate while having a lot more liquidity. (I like to think of liquidity like